

LAW AND MOTION TENTATIVE RULINGS

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failing to file the declaration, we ask the Court to reconsider its sanctions.” (Memorandum of Points and Authorities “MPA” at p. 5.) There is no opposition.

Code of Civil Procedure section 1008, subdivision (a) provides that, “[w]hen an application for an order has been made to a judge, or to a court, and refused in whole or in part, or granted, or granted conditionally, or on terms, any party affected by the order may, within 10 days after service upon the party of written notice of entry of the order and based upon new or different facts, circumstances, or law, make application to the same judge or court that made the order, to reconsider the matter and modify, amend, or revoke the prior order. The party making the application shall state by affidavit what application was made before, when and to what judge, what order or decisions were made, and what new or different facts, circumstances, or law are claimed to be shown.”

First, the motion is not timely. A motion for reconsideration must be within ten days after service of written notice of entry of order. The Minute Order from the February 23, 2026 hearing, was served on March 4, 2026. This motion was not filed until April 10, 2026.

Second, even if the motion were timely, GM has failed to show “different facts, circumstances, or law.” The Court issued sanctions because GM failed to file a sworn statement, as ordered, in response to an OSC. GM does not dispute that it failed to file the statement. Therefore, there is no basis to reconsider the sanctions imposed as there are no different facts, circumstances, or law.

No. 25CV01089 UPDATED FROM PRIOR POSTING OF MAY 22, 2026

SC BLOOM NETWORK, INC. v. OLD REPUBLIC TITLE CO.

DEMURRER TO FIRST AMENDED COMPLAINT

DEFENDANT’S MOTION TO STRIKE

The demurrer is sustained without leave to amend. Plaintiffs’ claims are time-barred. The motion to strike is denied as moot.

I. BACKGROUND AND FIRST AMENDED COMPLAINT

This case, and an associated case filed in Santa Clara County in 2020, are the culmination of allegedly fraudulent business transactions related to a cannabis business. Will Sump and Nate Ready formed RS Enterprise, LLC (“RS Enterprise”) to purchase and hold title to real property at 236 Encinal Street. Sump was the majority member and chief executive and Ready the minority member and

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secretary. RS Enterprise bought the property on August 24, 2018. (FAC at ¶¶ 8-11.) The FAC alleges “Nate Ready embarked on a scheme to convey the Property to KJM Properties, LLC, a limited liability company owned by his parents and his aunt....” (FAC at ¶ 14.) Ready retained attorney Dean Sutton to assist. Nate Ready and his mother drafted a purchase contract for KJM Properties’ purported purchase of the property for \$685,000.00. Then they opened an escrow with First American Title. (FAC at ¶¶ 14- 16.) When asked to sign the escrow documents by First American, Sump refused. “Nate Ready and his family members decided to clandestinely remove Mr. Sump from RS Enterprise, LLC and then effectuate the conveyance.” This included Mr. Sutton and Ready conducting a “special meeting” from which Sump was excluded; Ready voted to divest Sump of his membership and voting interest. First American still declined to complete the transaction because it identified a disagreement between the managers and members of the LLC. (FAC at ¶¶ 17- 20.)

Sutton allegedly turned to defendant Old Republic Title (“Old Republic” or “ORTC”) to open escrow for the conveyance of the property and included the original purchase contract and an operating agreement dated October 31, 2018 that indicated the “restated” articles of organization had recently been signed but not yet filed with the Secretary of State and that Nate Ready was the sole managing member. (FAC at ¶ 21.)

The FAC alleges that Old Republic went ahead with the fraudulent transaction and caused to be recorded a grant deed from RS Enterprise to KJM, conveying the property. (FAC at ¶¶ 29-30.)

In May 2020, Will Sump, as an individual, RS Enterprise, LLC, SC Bloom Network, Inc., and R&V Consulting, Inc. sued various individuals and entities including Nate Ready, KJM Properties, LLC, RS Enterprise, R&V Consulting, Rice, Luxon, and Bolster-Grant, LLP and Accountbl, Inc. in Santa Clara County Superior Court. This action alleged 15 causes of action and asserted that the defendants conspired to defraud Sump of ownership in real property involving three separate addresses, as well as the voting and membership interest in RS Enterprise. Old Republic was not named as a defendant in this action. (Defendant’s RJN, #4.) On November 7, 2023, the first cause of action to the complaint and cross-complaint was tried before the court in a bench trial. The court granted declaratory relief in favor of plaintiffs and found that removal of Sump was unlawful, void, and invalid to effectuate the transfer of the property. The judgment reinstated his position in RS Enterprise. (Defendant’s RJN, #5.)

Nearly five years later, on April 7, 2025, plaintiffs filed this complaint against Old Republic for its role in the 2018 transaction. Plaintiffs contend that they “did not have or discover facts giving rise to an actionable claim for negligence against ORTC until after receiving ORTC’s response to a subpoena issued on April 8, 2022.” (FAC at ¶ 32.) The FAC alleges one cause of action for negligence against Old Republic, asserting it breached its duty of care to plaintiffs because it was in possession of information that Sump was the Chief Executive Manager of RS Enterprise and had been told that Sump had earlier refused to sign the necessary documents to effectuate the proposed sale. The FAC asserts that Old Republic was aware that First American had not completed the transaction and failed to follow its own internal procedure when presented with the red flags that existed in connection with this transaction. (FAC at ¶¶ 35-37.)

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At the May 22, 2026, hearing, the Court continued this motion so that plaintiffs could file a sur-reply; defendant was permitted to file a response to the sur-reply. Both parties filed their respective briefings for the Court's review.

II. DEMURRER AND MOTION TO STRIKE

Old Republic demurs to the complaint, arguing the cause of action for negligence is time-barred and that the FAC does not allege any actionable breach of duty by Old Republic because an escrow holder's duties are limited to following escrow instructions and it has no obligation to investigate the transaction.

Old Republic first argues the negligence claim is time-barred because the applicable two-year statute of limitations on a claim for professional negligence has run. Plaintiffs assert they were injured when the property was fraudulently transferred through Old Republic's escrow on November 20, 2018. Thus, the statute ran on May 19, 2021¹ but this case was not filed until April 7, 2025.

Plaintiffs argue in opposition that their FAC pleads facts supporting the proposition that they lacked the ability, standing, and/or entitlement to prosecute RS Enterprise's claims until RS Enterprise was reinstated by court order on November 7, 2023, citing Corporations Code section 17709.02. (Opp. at p. 3-4.) Plaintiffs maintain that though they discovered Old Republic's wrongful conduct on or about May 2022, they did not have standing to prosecute the action until the judgment in the Santa Clara County case. (*Id.*) Plaintiffs contend at the very least there is an actual dispute as to when the negligence cause of action accrued which should not be decided on demurrer.

In reply, Old Republic asserts that plaintiffs' argument concerning standing fails as a matter of law because plaintiffs successfully filed and pursued both direct and derivative claims in their Santa Clara County action against 13 defendants and third-party professionals, including an accountant and their firm's and RS's former legal counsel. Old Republic contends plaintiffs have not explained why they were able to bring the Santa Clara County case against all defendants but could not bring a claim against Old Republic.

On sur reply, plaintiffs emphasize that a close analysis of the holdings cited by Old Republic indicate that equitable considerations *may* warrant an exception to the continuous ownership requirement. Plaintiffs urge that California courts have not definitively established an equitable exception to the continuous ownership requirement. Plaintiffs assert that none of the three cases cited by Old Republic involved or addressed the issue of statute of limitations. Plaintiffs maintain that "because Mr. Sump was not *continuously* a member during the relevant period, he could not maintain a derivative action until

¹ An additional 180 days was noted and included by defendant in its calculation pursuant to Covid Emergency Rules 9(a).

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after the LLC was reinstated and his members and ownership interest were restored. Under such facts, Plaintiffs' claim did not accrue until November 7, 2023, at the earliest." (Sur-Reply at p. 1.)

In response, Old Republic maintains that the "sur-reply addresses nothing to the failed arguments already rejected by the Court in its May 21, 2026 Tentative Ruling." (Response at p. 2.) Old Republic argues that plaintiffs never addressed the fact that Sump and RS already brought an action based on the same transaction in Santa Clara County despite the continuous ownership requirement. Further, Old Republic contends that even beyond the statute of limitations issue, it did not owe plaintiffs a duty in the transaction because neither Sump nor SC Bloom were parties to the 2018 escrow. (Response at p. 4.)

III. LEGAL STANDARD

"A demurrer tests the pleading alone, and not the evidence or the facts alleged." (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445, 459.) "For that reason, we 'assume the truth of the complaint's properly pleaded or implied factual allegations.' [Citation.] We also 'consider judicially noticed matters.' [Citation.] 'In addition, we give the complaint a reasonable interpretation, and read it in context.' [Citation.]" (*E-Fab, Inc. v. Accountants, Inc. Services* (2007) 15 Cal.App.4th 1308, 1315.)

"A complaint, with certain exceptions, need only contain a 'statement of the facts constituting the cause of action, in ordinary and concise language' (Code Civ. Proc., § 425.10, subd. (a)(1)) and will be upheld 'so long as [it] gives notice of the issues sufficient to enable preparation of a defense' [Citation.]" (*Mahan v. Charles W. Chan Ins. Agency, Inc.* (2017) 14 Cal.App.5th 841, 848, fn. 3.)

IV. DISCUSSION

A. The statute of limitations bars the allegations

"Where the dates alleged in the complaint show the cause of action is barred by the statute of limitations, a general demurrer lies." Further, "[t]he running of the statute must appear 'clearly and affirmatively' from the fact of the complaint." (Weil & Brown *Civ. Proc. Before Trial* (TRG 2025) § 7.50.)

"A cause of action for professional negligence is generally governed by the two-year statute of limitations under Code of Civil Procedure section 339, subdivision 1 for an 'action upon a contract, obligation or liability not founded upon an instrument of writing.' [Citation.]" (*Thomson v. Canyon* (2011) 198 Cal.App.4th 594, 606.)

As pointed out by defendant, plaintiffs acknowledge the statute of limitations as a potential bar to their claims but argue in the FAC that they did not know of Old Republic's involvement until after Old Republic's responses to a subpoena issued on April 8, 2022 and that they "did not have the ability, standing, and/or entitlement to begin and prosecute an action on such claims until RS Enterprise LLC was

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reinstated by court order on or about November 7, 2023.” (FAC at ¶ 32.) Plaintiffs contend that they could not have filed a derivative action on RS’s behalf citing *Sirott v. Superior Court* (2022) 78 Cal.App.5th 371. “Because Mr. Sump was not *continuously* a member during the relevant period, he could not maintain a derivative action until *after* the LLC was reinstated and his membership was restored.” (Opp. at p. 4.)

Plaintiffs also point to the order on Sump’s, in his individual capacity, motion for summary adjudication in the Santa Clara County action, arguing that court found that Sump was only a purported former member of the dissolved LLC and had no standing to bring his claim. “Plaintiff Sump (as only a purported former member of this admittedly dissolved LLC) has no standing to bring this claim [for quiet title] as he never held tile to or interest in the real property in his individual capacity.” (Plaintiffs’ RJN, Ex. B.) Old Republic argues that the language in the order on the MSA is inapplicable to the argument it is raising in this demurrer because Sump, in that motion, was seeking to quiet title in his individual capacity, not on behalf of RS Enterprise. The property was never held by Sump individually. Old Republic maintains there is an exception to the “continuous membership” standing requirement where a former member asserts they were wrongfully deprived of their ownership interest, such as in this case. (Reply at p. 7.)

“Section 17709.02 establishes the requirements for a member to pursue a derivative suit on behalf of a limited liability company. [Citation]. The statute provides that ‘[n]o action shall be instituted or maintained in right of any domestic or foreign limited liability company by any member of the limited liability company unless’ two conditions are met.” (*Sirott, supra*, 8 Cal.App.5th at p. 381.) “[S]ection 17709.02 requires both ‘contemporaneous’ membership—meaning the party seeking to bring a derivative claim was a member in the LLC at the time of the challenged transaction (or became a member by gaining an interest from a party who was a member at the time of the transaction)—and ‘continuous’ membership—meaning the party was a member throughout the litigation of a derivative claim.” (*Id.* at p. 381-382.) Plaintiff asserts that because he was wrongfully removed as a member of the LLC in 2019 and the LLC dissolved, he did not have standing to bring the action until the court in Santa Clara County reinstated the LLC and his membership.

The problem with this argument is that Sump, on his behalf *and* on behalf of RS Enterprise, LLC, has already brought an action against different defendants involved in this same transaction. Plaintiffs were successful in this endeavor as demonstrated by the trial court’s judgment. (Defendant’s RJN, #5.) Plaintiffs were aware at the time of the 2020 suit of Old Republic’s involvement with the transaction as shown by the detailed, verified complaint, in that case. “On or about November 16, 2018, NATHANIEL READY unlawfully and without authorization instructed Old Republic Title Company to transfer the Property’s Deed of Title. NATHANIEL READY failed to disclose to Old Republic the events of the prior attempted transfer to First American Title.” (See, Defendant’s RJN #4, Ver. Compl. at ¶ 87.) Plaintiffs’ argument regarding its lack of standing is incongruous to the fact that plaintiffs already successfully brought an action based upon the fraudulent transaction. They appear to have simply left out Old Republic while prosecuting that action.

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Old Republic cites *Haro v. Ibarra* (2009) 180 Cal.App.4th 823, which appears applicable here to address any potential standing issue. “Appellants have alleged equitable considerations that warrant an exception to the continuous ownership requirement.” (*Haro, supra*, 180 Cal.App. 4th at p. 837.) In *Sirott*, the First District affirmed the equitable exception enunciated in *Haro*. “Although the trial court concluded that the plaintiffs ‘lacked standing because they had not paid the assessment and were no longer shareholders,’ *Haro* concluded that they had ‘alleged equitable considerations that warrant[ed] an exception to the continuous ownership requirement’ and reversed the dismissal of their suit. [Citation.]” (*Sirott, supra*, 78 Cal.App. 5th at p. 385.) It appears that plaintiffs could have brought their negligence claim against Old Republic at the same time they brought their other claims in Santa Clara County. The Court does not find that the 2020 trial court order in connection with Sump’s motion for summary adjudication addressed the standing requirement at issue in this motion because that motion was brought by Sump individually.

Plaintiffs’ sur-reply essentially asked the Court to revisit the issue of the equitable exception to the continuous ownership requirement of Corporations Code section 17709.02. However, the sur-reply does not address the Court’s primary reasoning in its earlier tentative: that Sump brought his Santa Clara County action on his behalf and on behalf of corporate entity based upon the same transaction, even when Sump was apparently not a member of the corporate entity. Even if the Court assumes plaintiffs were unaware of Old Republic’s involvement until after the April 8, 2022 subpoena return, two years from this date expired in May 2024 – and this action wasn’t filed until April 2025. There is no evidence that Sump attempted to file an action before he was reinstated and was thwarted because he was not officially reinstated.

The demurrer is sustained without leave to amend because there is no indication that granting leave to amend would effectively address the statute of limitations issue. The Court declines to reach the other arguments raised in the demurrer concerning the issue of duty, as well as arguments in the motion to strike. The Court finds that applicable statutes of limitations bars plaintiffs’ claim for negligence.

DEFENDANT’S REQUEST FOR JUDICIAL NOTICE

Ex. 1. Deed of Trust recorded in Santa Cruz County on August 24, 2018, as document no. 2018-0025958. Granted.

Ex. 2. Deed of Trust recorded in Santa Cruz County on October 1, 2018, as document no. 2018-0029701. Granted.

Ex. 3. Deed of Trust recorded in Santa Cruz County on October 1, 2018, as document no. 2018-0029702. Granted.

Ex. 4. 2020 Complaint in *Sump et al. v. Ready et al.* Santa Clara County Superior Court, case no. 20CV366437. Granted.

Ex. 5. Judgment entered in case no. 20CV366437. Granted.

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PLAINTIFFS' REQUEST FOR JUDICIAL NOTICE

1. Order pursuant to Government Code section 12261, subdivision (a)(1) reinstating RS Enterprise, LLC, entered by the court on November 7, 2023, in case no. 20CV366437, ex. A. Granted.
2. Order Re: Motion for Summary Adjudication entered by the court on July 29, 2021, in the 2020 lawsuit (20CV366437), ex. B. Granted.

No. 23CV01708

SEASCAPE HOA v. SEASCAPE RESORT

MOTION TO EXPUNGE LIS PENDENS

**MOTION FOR JUDGMENT ON THE PLEADINGS TO SECOND AMENDED
CROSS-COMPLAINT**

MOTION TO STRIKE

DEMURRER TO INTERVENOR'S FIRST AMENDED COMPLAINT

**MOTION TO COMPEL RESPONSES TO REQUEST FOR PRODUCTION OF
DOCUMENTS**

**MOTION TO COMPEL FURTHER RESPONSES TO SPECIAL
INTERROGATORIES**

MOTION FOR RECONSIDERATION

MOTION FOR SUMMARY JUDGMENT AND/OR ADJUDICATION

Parties to appear.